

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (20 @ 3 points each) _____ (60 points)

TOTAL POINTS _____ ***(120 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
2. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the appropriate division (Secondary or Post-Secondary) Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.
Example: Use 2.3% NOT 2%
Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).
Example: \$35.9765 to \$35.98

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. A general rule of thumb when you invest in corporate bonds is the _____ the rating of the company, the _____ interest they will pay.
 - A. higher, more
 - B. lower, less
 - C. higher, less
 - D. there is no correlation between corporate ratings and interest rates.
2. The maximum amount of money that a person has access to and can borrow from a bank is known as a _____.
 - A. mortgage.
 - B. line of credit.
 - C. credit report.
 - D. bank loan.
3. Which of the following taxes includes a cap on the annual earnings subject to tax?
 - A. Federal Income Tax
 - B. Capital Gains Tax
 - C. Medicare Tax
 - D. Social Security Tax
4. A _____ is an example of revolving credit.
 - A. mortgage
 - B. car loan
 - C. credit card
 - D. money market
5. If you wanted to buy into stocks from foreign companies, you should invest in what type of mutual fund?
 - A. Domestic equity funds
 - B. Domestic income funds
 - C. International equity funds
 - D. International income funds
6. The amount of money your beneficiary will receive from your life insurance when you die is known as the _____ of the policy.
 - A. premium value
 - B. investment value
 - C. discount value
 - D. face value

7. When purchasing a zero-coupon bond with a maturity value of \$10,000, what price would you most likely be expected to pay?
- A. \$9,500
 - B. \$10,000
 - C. \$10,500
 - D. You can't purchase zero coupon bonds
8. What is the formula to calculate a person's net worth?
- A. $\text{Total Assets} + \text{Total Liabilities} - \text{Long-term investments}$
 - B. $\text{Total Liabilities} - \text{Total Assets}$
 - C. $\text{Total Assets} - \text{Total Liabilities}$
 - D. $\text{Total Assets} - \text{Total Liabilities} - \text{Long-term investments}$
9. Who of the following would most likely have the highest auto insurance premiums?
- A. 18-year old male
 - B. 18-year old female
 - C. 25-year old male
 - D. 25-year old female
10. Which of the following investment options is considered the most liquid?
- A. Corporate Bond
 - B. Real Estate
 - C. Certificate of Deposit
 - D. Money Market
11. Identify the best credit score.
- A. 400
 - B. 600
 - C. 800
 - D. 1,000
12. Taxes the government levies on the profit an individual realizes when they sell an asset are _____.
- A. capital gains tax.
 - B. gross wages tax.
 - C. dividends tax.
 - D. tax-exempt.
13. The NAV of a mutual fund is similar to the _____.
- A. interest rate on a bond.
 - B. market price of a stock.
 - C. principal amount of a loan.
 - D. commission on an ETF.

14. A person appointed to vote for another at a shareholder meeting is a(n) _____.
A. payee.
B. executive.
C. co-owner.
D. proxy.
15. The growth of the money in a 401(k) plan is _____.
A. taxed each year the plan gains money.
B. taxed each year as long as the total value is more than you contribute.
C. tax-free until the money is withdrawn.
D. not taxed at all.
16. Ideally, what does the Federal Reserve hope to happen if it was to lower interest rates?
A. Fewer cars being produced.
B. Increase in the demand for houses and cars.
C. Housing prices to increase rapidly.
D. The economy slows down.
17. Which of the following would not be considered an asset in determining a person's net worth?
A. Bank line of credit
B. Vested 401(k) retirement plan
C. Stock investment portfolio balance
D. Five-year old car completely paid off
18. Which of the following would result in you making money?
A. Selling a security as the value of the stock falls.
B. Holding a security as the value of the stock falls.
C. Buying a security as the value of the stock rises.
D. Shorting a security as the value of the stock falls.
19. As a rule, when interest rates rise, what typically happens to the price of bonds?
A. increase
B. decrease
C. bond prices do not change on the open market
D. there is no connection between interest rates and bond prices
20. Which of the following is a defined benefits retirement plan?
A. IRA
B. Roth IRA
C. Pension
D. 401 (k)

21. The United States has a progressive income tax structure, meaning _____.
- A. everyone will pay taxes equally.
 - B. the more money you make, the higher tax rate you will pay.
 - C. every person will pay income taxes regardless of how much they make.
 - D. the more money you make, the lower tax rate you will pay.
22. Which of the following is a tax-free investment?
- A. Corporate bond
 - B. Municipal bond
 - C. 401(k)
 - D. ETF
23. A bond sold at a price below face value which returns to face value at maturity is called a _____ bond.
- A. premium
 - B. discount
 - C. treasury
 - D. coupon
24. What was one policy change the Credit Card Act of 2009 created?
- A. Changed the minimum age to get a credit card on your own from 18 to 21.
 - B. Allowed for marketing of credit cards on college campuses.
 - C. Allowed credit card companies to make the due date 14 days after the date of the credit card statement.
 - D. Created a cap on credit card interest rates.
25. The prime rate runs approximately how many basis points above the Federal Funds Rate?
- A. 100
 - B. 300
 - C. 500
 - D. 700
26. What type of auto insurance covers injuries to your passengers if the accident is your fault?
- A. Personal Injury Protection
 - B. Uninsured Motorist
 - C. Bodily Injury Liability
 - D. Collision
27. What is an advantage a bond trading at a premium gives over one trading at a discount?
- A. Higher face value
 - B. More money received at maturity
 - C. Lower interest rate
 - D. Higher coupon

28. Qualified withdrawals from a Roth IRA are
- A. tax-free.
 - B. tax-deferred.
 - C. taxed monthly.
 - D. taxed annually.
29. A 5-year coupon bond has a face value of \$1,000 and a 5% coupon rate. What is the semi-annual payment?
- A. \$ 25.00
 - B. \$ 50.00
 - C. \$125.00
 - D. \$250.00
30. After college you move into your own apartment. Which of the following types of insurance is recommended for you?
- A. Liability
 - B. Homeowners
 - C. Renters
 - D. Comprehensive

Short Answer. Read each problem and answer the questions in the space provided. (3 points each)

1. Sasha Perez buys a \$8,000.00 coupon bond at the beginning of 2023 for \$7,500.00. The coupon rate on the bond is 4%, payable semi-annually. At the end of 2023, the bond is trading on the open market for \$7,600.
- a. How much will Sasha receive each interest payment? _____
 - b. On December 31, 2023, what is the current yield of the bond? _____
 - c. How much will Sasha receive upon maturity, including the last coupon payment? _____
2. Ray Ricketts purchases a Treasury bill with a face value of \$6,000.00 for a purchase price of \$5,850.00. The T-bill will mature in 26 weeks.
- a. How much will Ray earn on the investment? _____
 - b. Are Ray's earnings exempt from Federal Income Tax? _____
 - c. What is the discount yield on the T-bill? _____

3. Han Le begins her career as an accountant at KMJ Corp earning \$58,000 annually. KMJ offers a 50% company match on employee contributions into its 401(k) program. Han decides to enroll in the program right away and chooses to deduct 4% of her salary into the 401(k). KMJ Corp is on a biweekly payroll period.
- How much will Han contribute into her 401(k) each year? _____
 - How much will be deducted from her pay each paycheck? _____
 - What will her company contribute into her plan annually? _____
 - Han earns a 3% raise after her first year of working. How much in total will be contributed into her 401(k) in year 2 of her career? _____

4. Samuel Pranhi invested into the stock market on December 31st, 2022. One company he invested, Banners Inc., has the following financial information.

<u>Stock Price</u> <u>12/31/22</u>	<u>Current Stock</u> <u>Price</u>	<u># of Shares</u> <u>Outstanding</u>	<u>2022</u> <u>Net Income</u>
\$112.60	\$125.25	25,000,000	\$81,459,700

- What was the EPS for Banners Inc. at the end of 2022? _____
 - Using the current stock price, find the P/E ratio. _____
 - Samuel bought 200 shares of Banner Inc. when he made his investment. What was his investment into the company worth at the end of 2022? _____
 - What is his investment into the company worth today? _____
 - What has been his ROI to date? _____
5. Connor Musgrove has health insurance coverage through his employer. He has \$30 deducted from each biweekly paycheck to cover his premium. The healthcare coverage includes a \$1,000 deductible, an 80/20 coinsurance after the deductible, and an out-of-pocket maximum of \$5,000 annually. Connor had the following medical services for 2022:
- Wellness checkup in March, cost of \$200
 - Emergency room visit in June with tests, cost of \$3,300
 - Doctor visit in October, cost of \$315
 - Outpatient surgery in November, cost of \$1,650

- a. How much did Connor pay for his wellness check in March? _____
- b. How much did Connor pay for his emergency room tests in June? _____
- c. How much did the insurance cover on his surgery in November? _____
- d. Did Connor hit his out-of-pocket maximum during 2022? _____
- e. What was the total amount Connor paid for healthcare during 2022, including his premium? _____